

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**RESPONDENT CMA CGM S.A.'S RESPONSE AND OPPOSITION
TO COMPLAINANT'S MOTION TO COMPEL**

Respondent CMA CGM S.A. ("Respondent" or "CMA"), by counsel, pursuant to 46 C.F.R. 502.71, 502.150, and the Commission's Initial Order dated February 29, 2024, hereby submits its response and opposition to Complainants' Motion to Compel. FMC Doc. No. 18.

Summary

As set forth herein, CMA has fully complied with its discovery obligations, supplementing its responses three times, and specifically addressing Complainants' concerns about document production in its most recent responses, while cooperating about a potential deposition. By contrast, Complainants agreed to withdraw their deposition notice and narrow the scope of their overbroad topics in exchange for an extension of the deadline, yet, on the eve of the new deadline, sent the same notice to CMA again, with no change in the scope of the inquiry. Complainants also failed to address the effect of their own bankruptcy, despite repeated requests by CMA. In fact, to date, Complainants have never provided Bankruptcy Court authorization to proceed with this case, which means they have no power to demand a corporate deposition, even if they had properly narrowed the scope. *See* 11 U.S.C. §§ 527, 529, and 1107.

RESPONSE AND OPPOSITION TO COMPLAINANT'S MOTION TO COMPEL

In accordance with Paragraph 12 of the Commission's Initial Order, CMA provides its responses and opposition to Complainants' Motion to Compel in bold below. FMC Doc. No. 6.

Complainants' Motion to Compel

I. BACKGROUND

Complainants filed their complaint against Respondent on February 14, 2024 alleging violations of the Shipping Act of 1984 (the "Complaint"). *See Impact Products, LLC and Safety Zone, LLC v., CMA CGM S.A.*, Proceeding No. 24-07 (Docket Entry 1). To date, the parties have exchanged Rule 502.141(b) initial disclosures, propounded written discovery, Complainants have answered discovery, and Respondents have partially complied with their obligations.

On March 22, 2024, Complainants served their initial disclosure, and on March 29, 2024, Complainants served their initial interrogatories and requests for production of documents to Respondent. Some months after the Complaint was filed, Complainants filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del. May 21, 2024) (the "Bankruptcy Proceeding").¹

On April 29, 2024, Respondent served its responses to Complainants' discovery requests, generally objecting to most of the requests and failing to provide any substantive responses or documents. Due to Respondent's failure to provide substantive responses to Complainants' discovery requests, Complainants served a discovery deficiency letter to Respondent on July 3, 2024. Subsequently, on July 25, 2024, Complainants served a notice of deposition on

¹ Complainants were working through the bankruptcy process to determine who would ultimately own Complainants' assets. TZ SSE Buyer, LLC, a Delaware limited liability company, is now the owner of all of Complainants' assets (as of July 19, 2024), including the claims at issue in this proceeding. Complainants are in the

Respondent to depose a corporate representative with knowledge of: (1) the 132 containers (the “Relevant Containers”) shipped using CMA’s shipping vessels, as referenced in Paragraph 12 of the Complaint, and the spreadsheets produced by Complainants to Respondent, identifying the Relevant Containers by container number, and by Master and House Bill of Lading numbers; (2) email and other communications with Laufer Group International relating to the Relevant Containers; and (3) the invoices Respondent issued to Laufer Group International, as referenced in paragraph 12 and 13 of the Complaint. *See Exhibit A*, a copy of the notice of deposition.

On July 29, 2024, counsel for both parties discussed the remaining discovery deadlines and agreed that each party would supplement their discovery responses by the close of discovery on August 5, 2024. Both parties also acknowledged that they would not be able to complete depositions by the close of discovery. In particular, Respondent’s counsel indicated that more than one corporate representative might need to be deposed, as multiple representative have knowledge relevant to the allegations in the Complaint. The parties agreed to meet and confer to define the scope of inquiry for the CMA corporate representative to limit the number of potential deponents. *See Docket No. 14, p. 3* (Joint Motion to Extend Discovery Deadline). Additionally, the parties agreed to file a joint motion for an extension of the deposition discovery deadline to Friday, August 30, 2024. *See Docket No. 14, p. 2*. Based on these representations from Respondent’s counsel, Complainants agreed to withdraw their notice of deposition scheduled for August 1, 2024.

On July 31, 2024, Respondent served Complainant with its supplemental production of documents and responses to Complainants’ initial set of interrogatories and requests for production of documents. However, some of the documents produced were incomplete, cutting

process of transferring the claims to TZ SSE Buyer, LLC (“TZ SSE Buyer”), or a third-party owned by TZ SSE Buyer. This third-party will need to prosecute the claims in their own name.

off in the middle of the page, making it impossible to ascertain their full content. As required by the Commission's Rules, Complainants' relevant requests and Respondent's responses are set out verbatim and in full in **Exhibit B**, including a copy of the deficient documents produced by Respondent, which are not marked as confidential. On August 6, 2024, Complainants' counsel noted this deficiency and requested that Respondent correct it. Respondent's counsel acknowledged the issue on the same day and indicated that Respondent would cure the deficiency, but to date, Respondent has failed to do so.

Notably, since the last communication with Respondent's counsel on August 6, 2024, Complainants' counsel has made multiple attempts to discuss depositions, Complainants' Bankruptcy Proceeding, and Respondent's deficient document production with Respondent. However, Respondent has not responded to any of these communications. On August 28, 2024, just two days before the close of discovery, Respondent's counsel emailed Complainants' counsel with a formal letter stating that they would not comply with the amended scheduling order until they receive a copy of the bankruptcy court authorizing Complainants' counsel to prosecute this FMC matter. However, no order from the bankruptcy court is necessary. This is the first communication from Respondent since August 6, 2024. Complainants have also produce an expert report from a retained expert.

Now, Respondent has moved to dismiss the case even though it previously answered the Complaint.

CMA's RESPONSE & OPPOSITION

CMA has diligently supplemented its discovery responses on three separate occasions. The First Supplemental Responses were provided on July 31, 2024, followed by a second round on August 5, 2024. Most recently, CMA served its Third Supplemental Responses on September 9, 2024, specifically to resolve the formatting issues raised in Complainants' Motion. See Exhibit 1.

On July 25, 2024, Complainants unilaterally served a deposition notice on CMA, seeking to depose its corporate representative(s). However, during a meet-and-confer discussion on July 29, 2024, Complainants agreed to withdraw this notice after CMA raised valid concerns regarding the overly broad scope of the inquiry, the logistical challenges of coordinating multiple CMA witnesses located worldwide, and the imminent discovery deadline of August 5, 2024. During this discussion, CMA also committed to supplementing its discovery responses by August 5, 2024—a commitment it promptly fulfilled.

Complainants’ assertion that CMA subsequently refused to discuss depositions is misleading. Complainants neglect to mention their own failure to provide the promised information about their bankruptcy case after being requested by CMA on August 1, 2024. Instead, on August 26, 2024—just four days before the extended deposition deadline—Complainants renewed their request for a deposition of CMA’s corporate representative(s). With no response regarding the previously raised bankruptcy issues, CMA sent correspondence on August 28, 2024, requesting documentation confirming Complainants’ authorization to continue this proceeding. *See* FMC Doc. No. 21, Ex. 10. In response, Complainants incorrectly asserted that “no order from the bankruptcy court is necessary,” without any further explanation, disregarding the clear requirements of 11 U.S.C. § 327 and 11 U.S.C. § 1107. As a result, CMA is still awaiting confirmation of Complainants’ authority and approval to move forward with this case.

Additionally, Complainants failed to comply with procedural requirements in their Motion to Compel. Pursuant to paragraph 12 of the Commission’s Initial Order, they were required to provide a Word copy of the Motion to both CMA and the Commission, allowing Respondent to insert its opposition. *See* Doc. 6. Although Complainants initially attempted to file their Motion to Compel on August 30, 2024 (*see* Doc. 18), the required electronic copy was not provided until September 11, 2024, delaying Respondent’s ability to respond in the mandated format. *See* Exhibit 2.

II. ARGUMENT

Complainants have made good faith effort to depose a corporate representative of Respondent since July 25, 2024, to complete discovery in this matter. Simultaneously, Complainants have been working to transfer all of their assets, including the claims in this proceeding, to TZ SSE Buyer, or a third-party owned by it, who purchased all of Complainants assets as part of a sale in the Bankruptcy Proceeding. In the process, Complainants have responded to all of Respondent’s discovery requests and have produced a substantial amount of documents relevant to the allegations in the Complaint and Respondent’s discovery requests.

Initially, on July 25, 2024, Complainants served Respondent with a notice of deposition to take the deposition of one of Respondent's corporate representatives on August 1, 2024. *See Ex. A.* Complainants subsequently agreed to withdraw their notice after Respondent's counsel represented that the parties would work together to define the scope of inquiry for the deposition of Respondent's corporate representative, aiming to limit the number of potential deponents. *See Docket No. 14, p. 3.* Based on this assurance from Respondent's counsel, the parties filed a joint motion to extend discovery to complete depositions by August 30, 2024. *See Docket No. 14.* After the joint motion was granted, Complainants repeatedly attempted to contact Respondent's counsel to discuss the status of the Bankruptcy Proceeding, the scheduling of depositions and Respondent's deficient production of documents. However, Respondent has failed to respond to any of Complainants' requests.

CMA's RESPONSE & OPPOSITION

Complainants argue that they made good faith efforts to depose a corporate representative of CMA and complete discovery. However, this claim ignores the crucial facts that they never narrowed the scope of their overbroad topic list as agreed, and that CMA has been rightfully awaiting necessary authorization from Complainants regarding their ongoing bankruptcy case, which directly impacts their authority to pursue this case. Without Bankruptcy Court authorization, they are not allowed to take any depositions. *See* 11 U.S.C. §§ 527, 529, and 1107.

First, on July 29, 2024, Complainants agreed to withdraw their deposition notice after discussion with CMA and to narrow the scope in exchange for an extension of the deposition deadline. Yet, on the eve of this new deadline, Complainants again sent their deposition notice with no change in the overbroad scope of inquiry. In between, Complainants made no efforts to discuss or negotiate narrower deposition topics as the parties previously agreed. Thus, Complainants have failed to honor the agreement made with CMA by failing to rectify their areas of inquiry as promised in prior discussions. Such actions have prevented the parties from moving forward with depositions.

Additionally, on August 1, 2024, CMA inquired about the status of Complainants' bankruptcy during a telephone call with Complainants' counsel, specifically seeking information on how it might impact the case. Complainants' counsel proffered to provide such additional information, but to date, CMA has

received nothing substantive. This lack of response raises serious concerns about Complainants' legal standing to continue this action. *See* FMC Doc. No. 21.

On August 28, 2024, CMA formally requested documentation from the Bankruptcy Court authorizing Complainants to pursue this litigation in accordance with bankruptcy law. Again, Complainants failed to provide any information responsive to CMA's request. CMA followed up with a further inquiry on September 5, 2024, which has also failed to illicit any substantive reply.

Given this context, CMA is under no obligation to produce a corporate representative for deposition as Complainants have not demonstrated that they have the authority to continue this litigation. As outlined in CMA's Supplemental Motion to Dismiss (FMC Doc. No. 21), Complainants' counsel has not been approved by the Bankruptcy Court to prosecute this claim. Furthermore, Complainants neglected to disclose this litigation to the bankruptcy court, despite having initiated it before the bankruptcy case. This failure to disclose is a violation of bankruptcy law and serves as an additional barrier to Complainants' ability to proceed.

CMA's refusal to discuss depositions does not stem from any lack of cooperation but rather from Complainants' own failure to narrow the scope of their inquiries, coupled with their unwillingness to provide necessary information regarding the bankruptcy case.

Complainants request that the Presiding Officer compel Respondent to rectify its deficient document production, specifically those documents that were cut off in the middle of the page and are therefore incomplete. Complainants particularly request that the Presiding Officer compel Respondent to produce full images of these incomplete documents, including those Bates labeled by Respondent as 0612 through 0633. *See* **Ex. B**. Additionally, since the amended scheduling order requires that depositions be completed by August 30, 2024, Complainants request that the Presiding Officer compel Respondent to produce a corporate representative for their deposition.

Further, Complainants seek an extension of the remaining deadlines in the case to allow Complainants to complete the depositions, Respondents to produce the remaining documents, and for the briefing schedule to be extended due to Respondents' failure to comply with discovery. Next week Complainants will be moving for leave to substitute the new entity as the

proper Plaintiff. No bankruptcy approval is necessary since all of Complainants' assets have been sold.

CMA's RESPONSE & OPPOSITION

Complainants' contention that the documents produced in the original and two subsequent discovery responses were insufficient has been cured by CMA's September 9, 2024 Third Supplemental Response. *See Exhibit 1.* The documents provided directly remedied the issues Complainants specifically identified (Bates Nos. 0612 through 0633). By doing so, CMA has fully complied with its document production obligations.

Accordingly, CMA opposes any further requests to compel production, extend deadlines, or proceed with depositions until Complainants properly demonstrate their authority to litigate this matter.

CONSULTATION

As noted above, Complainants have repeatedly notified Respondent of the deficiencies outlined above and requested a time to depose one of Respondent's corporate representatives, but Respondent has failed to address these deficiencies or respond to Complainants' requests regarding depositions. *See Certificate of Attempt to Confer (Exhibit C)* regarding Complainants' multiple attempts to confer with Respondent's counsel.

CMA's RESPONSE & OPPOSITION

The reality is that CMA has made multiple attempts to engage in meaningful discussions with Complainants, specifically regarding the status and impact of their ongoing bankruptcy case. Despite CMA's efforts, Complainants have refused to address or provide the necessary authorization about their bankruptcy status, creating a fundamental barrier to moving forward with depositions or other discovery matters.

CMA's inquiries are not mere formalities; they are necessary to establish whether Complainants have the legal authority to pursue this action. To date, Complainants have ignored these inquiries, choosing instead to focus solely on their demands for depositions while evading a key question that directly impacts the validity of the proceedings. Therefore, any breakdown in discussions and the inability to schedule depositions stem entirely from Complainants' refusal to engage in good faith consultation regarding the bankruptcy case.

Until Complainants address this matter, CMA cannot be reasonably expected to participate in further discovery. The blame for this impasse lies squarely with Complainants.

CONCLUSION

WHEREFORE, Respondent CMA CGM S.A. respectfully requests that the Commission deny Complainants' Motion to Compel in its entirety—including their requests for a corporate representative deposition, additional document production, and an extension of deadlines—on the grounds of CMA's full compliance with its discovery obligations and Complainants' failure to establish their legal standing post-bankruptcy, and to grant CMA all other just relief.

Dated: September 18, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 18th day of September 2024, a true copy of the foregoing was served by electronic mail on all counsel of record as follows:

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